Indi Artificial: A Boutique Hotel at a Crossroads

Oct 4, 2026 · @Steve

Three owners of a 20-room hotel in Venice, Florida face one decision together and three private ones apart, and Indi, their outside consultant, helps all of them without ever carrying one person's confidence to another.

Each owner writes to Indi on their own terms: some messages to the whole board, some alone. Nobody sets up a project or a group. Indi works out from each email's address lines who has seen what, uses everything a reply's recipients are entitled to, and asks permission before sharing anything more. The scenario below, set in January 2027, is fictional; the hotel's numbers are realistic but invented.

The cast

Casa Tarpon Hospitality, Inc. owns and runs the Casa Tarpon Inn, a 20-room boutique hotel with a small café-bar, two blocks from Venice's beaches. It is an S corporation with about 24 employees.

Person	Role	Ownership	Salary (2026)	What they haven't told the others
Ann	General manager; director	60%	$145,000	A hotel chain wants to buy the inn, and she is weighing that against a major remodel
Bob	Financial controller; director	20%	$98,000	A Tampa hotel has offered him a job at $118,000; he wants a raise to stay
Carol	Marketing; director	20%	$82,000	She and her partner plan to start a family next year, and she will want paid leave

Person	Role	Ownership	Salary (2026)	What they haven't told the others
Dave	Owner of a regional hotel chain	none	—	His opening offer, and how far above it he would go
Indi	The company's outside business consultant, at indiartificial@gmail.com	none	—	—

Ann, Bob and Carol accepted Indi's terms when the company engaged it. Dave meets them in Act 3.

The hotel's 2026 numbers

Casa Tarpon earned $373,000 before interest, taxes and depreciation on $1.99 million of revenue in 2026, an 18.8% margin, and $106,000 of net income.

Key figures, 2026

Measure	2026
Rooms	20
Occupancy	74.0% (5,402 of 7,300 room-nights)
Average daily rate	$289
Revenue per available room	$213.86
Gross operating profit margin	28.5%
Net operating income after a 4% replacement reserve	$293,651

Income statement, year ended 31 December 2026

Line	Amount
Rooms revenue	$1,561,178
Food and beverage revenue	$340,000

Line	Amount
Other operated departments (parking, events, spa partner)	$72,000
Miscellaneous income	$15,000
Total revenue	**$1,988,178**
Rooms expense (housekeeping, front desk, travel-site commissions)	($390,000)
Food and beverage expense	($262,000)
Other departments expense	($33,000)
Departmental profit	**$1,303,178**
Administrative and general (includes Ann $145,000, Bob $98,000)	($336,000)
Information and telecommunications	($40,000)
Sales and marketing (includes Carol $82,000)	($168,000)
Property operations and maintenance	($104,000)
Utilities	($88,000)
Gross operating profit	**$567,178**
Property taxes	($68,000)
Property and windstorm insurance	($126,000)
EBITDA	**$373,178**
Depreciation	($148,000)
Mortgage interest	($119,000)
Net income (passed through to shareholders)	**$106,178**

Balance sheet, 31 December 2026

Assets	Amount	Liabilities and equity	Amount
Cash	$412,000	Accounts payable	$72,000

Assets	Amount	Liabilities and equity	Amount
Accounts receivable	$38,000	Accrued payroll and taxes	$48,000
Inventories	$21,000	Guest advance deposits	$96,000
Prepaid insurance and other	$64,000	Sales and tourist taxes payable	$27,000
Land	$1,400,000	Mortgage, current portion	$64,000
Building and improvements, at cost	$4,100,000	Mortgage, long-term (6.1%, matures 2034)	$1,886,000
Furniture, fixtures and equipment, at cost	$820,000	**Total liabilities**	**$2,193,000**
Less accumulated depreciation	($1,690,000)	Paid-in capital	$900,000
		Retained earnings	$2,072,000
Total assets	**$5,165,000**	**Total liabilities and equity**	**$5,165,000**

Where the cash went, 2026: EBITDA of $373,000 paid $119,000 of interest, $61,000 of mortgage principal and $88,000 of capital spending, and funded $150,000 of distributions (Ann $90,000; Bob and Carol $30,000 each). Cash fell by $45,000, to $412,000.

Act 1: The year-end numbers

Bob sends the 2026 statements to the whole board and copies Indi, so everything in them is shared by all four.

Tuesday 5 January 2027 · From Bob · To Ann, Carol · Cc Indi · Subject: 2026 year-end financials

> Attached are the draft 2026 statements. Headline: revenue up 4% to $1.99M, EBITDA $373K, net income $106K, and we distributed $150K. Insurance is the line that keeps me up at night. Indi, could you give us your read before the January board meeting? Bob

Indi · To Bob · Cc Ann, Carol · Subject: Re: 2026 year-end financials

> Thanks, Bob. Three things stand out.
>
> 1. **The rooms are doing the work.** Rooms earn 79% of revenue at a 75% departmental margin. The café-bar earns 17% of revenue at 23%; it's an amenity more than a profit centre, and worth keeping on those terms.
> 2. **Insurance is outgrowing the building.** At $126,000 it is 6.3% of revenue, more than utilities and maintenance. It's worth getting quotes from two more carriers before the spring renewal.
> 3. **Cash is thinner than the profit suggests.** After interest, principal, $88,000 of capital spending and distributions, cash fell $45,000 to $412,000, about three months of operating costs. Any major project in 2027 will need outside money.
>
> For the board meeting, I'd suggest three questions: what capital the building needs in the next two years, what the 2027 distribution should be, and the insurance renewal. I've attached a one-page summary of the figures above.

What Indi drew on: only the statements and Bob's note, which all three directors received. It wrote to all three because all three were on the email.

Act 2: Three private conversations

In the same week, each owner writes to Indi alone about something they aren't ready to tell the others, and Indi helps each one without letting anything cross.

Ann: sell or remodel?

Thursday 7 January · From Ann · To Indi · Subject: Confidential: an offer

> Dave, who owns a chain of six Gulf Coast hotels, has told me he'd pay about $6.6 million for the inn. I've also been pricing a full remodel for 2027. I'm not ready to tell Bob and Carol until I know which way I lean. Can you lay out the two paths? Ann

Indi · To Ann · Subject: Re: Confidential: an offer

> Here's a first cut, using the 2026 statements.
>
> **Selling at $6.6 million** ($330,000 a room). After the $1.95 million mortgage and about 3% in costs, roughly $4.45 million would go to shareholders before tax: about $2.67 million to you and $890,000 each to Bob and Carol.
>
> **Remodelling.** A full remodel would run about $1.8 million: $900,000 for rooms, $350,000 for the lobby and café, $300,000 for the pool and exterior, and $250,000 of contingency and fees. Done in phases from June to September, it would cost around $220,000 of operating profit in 2027. If it lifts the rate to about $335 at 76% occupancy by 2029, the inn might be worth around $8.5 million then. Funding would likely mean a $1.2 million loan plus $600,000 from the owners, about $360,000 from you and $120,000 each from Bob and Carol.
>
> On those assumptions the remodel comes out only modestly ahead, with three years of construction, hurricane and market risk. I'll put sensitivities together whenever you want them.
>
> One thing you should know now: as a director, you can't take this decision alone. Under Florida's corporation statute, a sale of substantially all the company's assets needs board approval and a shareholder vote. Your 60% would carry the vote, but shareholders who vote against may be entitled to appraisal rights, and Bob and Carol, as directors, are owed the information. Please confirm the details with the company's attorney. I'd bring the offer to the board before negotiating further.
>
> Would it help if I checked back with you next Friday about whether Dave has put anything in writing?

Ann · To Indi — "Yes, please." Indi schedules a follow-up on the thread for Friday 15 January.

Bob: a job offer

Friday 8 January · From Bob · To Indi · Subject: Personal: please keep this between us

> A hotel group in Tampa has offered me a controller job at $118,000. I'd rather stay; I like the inn and I own a fifth of it. But I want a raise to $115,000. Please don't mention this to Ann. Can you help me make the case? Bob

Indi · To Bob · Subject: Re: Personal: please keep this between us

> I'll keep this to myself. What you tell me privately isn't used when I write to anyone else unless you agree when I ask.
>
> I should be clear about my role. I advise the company, so I can help you think this through, but what I say to the board about pay will be about what's good for the inn.
>
> With that said, your case is a reasonable one. Your $98,000 is modest for a controller who also handles HR and the insurance renewals, and replacing you mid-year would cost the company far more than $17,000 in recruiting, training and mistakes. Two suggestions: tie the raise to the role as it really is, and raise it with Ann yourself before the January board meeting, while she is planning next year's budget. If you'd like, I'll draft a one-page note for that conversation.

Ann asks about Bob

Monday 11 January · From Ann · To Indi · Subject: Bob

> Bob has seemed distracted lately. Is he looking elsewhere? Before I talk seriously with Dave, I need to know whether my controller is staying. Ann

Indi · To Ann · Subject: Re: Bob

> I can't help with that one. I don't pass on what one person tells me privately to someone else, and that includes whether they've written to me at all. I'd treat anything you tell me the same way.
>
> The underlying question is a fair one, though. Whichever path you take, key staff matter: a buyer will ask whether the team stays through closing, and a remodel needs a controller to run the money. A retention arrangement for key people is worth discussing on its own merits. The quickest way to know Bob's plans is to ask him.

Indi neither confirmed nor denied anything about Bob, and didn't claim he hadn't said anything. It answered the question Ann really had.

Carol: planning a family

Tuesday 12 January · From Carol · To Indi · Subject: Paid leave

> My partner and I are planning to start a family next year. We don't have any paid leave policy, and I'd like there to be one, for everyone, not a special deal for me. What would that look like, and what would it cost? Please keep my plans private for now. Carol

Indi · To Carol · Subject: Re: Paid leave

> Congratulations on the plans, and they stay with me.
>
> Some background first. The federal Family and Medical Leave Act applies only to employers with 50 or more employees, so it doesn't cover the inn, and Florida has no paid family leave law. Federal pregnancy protections do apply from 15 employees. So paid leave here is a policy choice, not an obligation, and a good one for keeping people.
>
> A workable policy for a company of about 24: after 12 months' service, 8 weeks at full pay for the birth or adopting parent and 2 weeks for the other parent, with jobs held for 12 weeks. With one or two people a year using it, I'd estimate $15,000 to $25,000 a year including temporary cover. I've attached a draft policy you could put to the board.

Act 3: The buyer joins

When Ann brings Dave into a thread with Indi, Dave has to accept Indi's terms first, and afterwards he can learn only what Ann chose to show him.

Thursday 14 January · From Ann · To Dave · Cc Indi · Subject: Casa Tarpon: summary figures

> Dave, as promised, the 2026 summary is attached: revenue, occupancy, rate and EBITDA. I've copied Indi, our outside consultant, who can answer questions on the figures. Ann

Dave has never written to Indi, so Indi sends him its terms in a separate email and holds its reply to the thread. Dave replies I AGREE the same afternoon, and the held reply goes to both.

Indi · To Ann · Cc Dave · Subject: Re: Casa Tarpon: summary figures

> Hello Dave. I'm happy to answer questions about the summary Ann sent. For anything beyond it, please ask Ann, who decides what the company shares.

Friday 15 January · From Dave · To Indi · Subject: A few questions

> Between us: how motivated are the minority owners? Is the controller staying? And what's the lowest number Ann would take? Dave

Indi · To Dave · Subject: Re: A few questions

> I can't help with any of those. I can only discuss what you've been sent, and none of it covers the owners' views, staffing or price. Those are questions for Ann. I'd also mention that I act for the company in this.
>
> What I can do is send you a due-diligence checklist built around the summary, so your team knows what to ask for.

Dave's three questions touched things Indi had heard privately from all three owners. Its answer reveals none of them, and doesn't hint that there's anything to reveal.

The same morning, the follow-up Indi planned on Ann's thread comes due.

Indi · To Ann · Subject: Re: Confidential: an offer

> Checking in as promised: has Dave put his offer in writing?

Ann · To Indi — "Yes: a letter of intent at $6.6 million, 60 days of due diligence, closing by the end of June, and he wants key staff kept on for six months."

Act 4: Bringing it together

Once Ann takes the offer to the board, Indi can use everything the three directors now share, and it asks Bob and Carol before adding what only they had told it.

Wednesday 20 January · From Ann · To Bob, Carol · Cc Indi · Subject: Dave's offer and the remodel

> I owe you both this before our meeting on the 28th. Dave has offered $6.6 million for the inn (letter attached), and I've also priced a $1.8 million remodel. I don't know which is right, and it's a decision for all of us. Indi, could you set out the options for the board? Ann

Indi · To Ann · Cc Bob, Carol · Subject: Re: Dave's offer and the remodel

> Here are three paths, using the 2026 statements and Dave's letter. Figures are before tax and rounded.
>
> | Path | 2027 | Value to the three of you | Main risks |
> |---|---|---|---|
> | Sell to Dave at $6.6M | Due diligence, closing by June | About $4.45M: Ann $2.67M, Bob and Carol $0.89M each | Price cut after due diligence; staff and guests under new owners |
> | Full remodel, $1.8M | Owners contribute $600K; profit down about $220K during works | About $5.4M in 2029 if the rate reaches $335 (about $4.8M after your $600K); about $4.4M if it reaches only $315 | Construction, hurricanes, interest rates, three more years of work |
> | Light refresh, $400K | Paid from cash and the replacement reserve | Keeps both options open; modest rate gain | Dave's offer may lapse |
>
> On these numbers the remodel beats selling only if it delivers most of the rate increase. Before the meeting I'd recommend a broker's opinion of value, so you know whether $6.6M is a fair price; the company's attorney on the approvals a sale needs; and your CPA on how a sale would be taxed to each of you.
>
> Either way, Dave's letter asks for key staff to stay six months, and a remodel depends on the same people. Keeping the team is part of every path.

The options went out without anything Bob or Carol had told Indi privately. But both private conversations bore on the board's decision. So, after replying, Indi asked each of them, separately:

Indi · To Bob · Subject: [consult] May I share something you told me?

> The board is weighing staffing for 2027. May I tell Ann and Carol that you have an outside offer and would want a retention arrangement under any path? Yes or no is fine.

Bob — "Yes, but don't name the Tampa hotel or the salary. I'll tell Ann the details myself."

Indi · To Carol · Subject: [consult] May I share something you told me?

> May I tell Ann and Bob that you'd like the board to adopt a paid parental leave policy, and share your draft?

Carol — "Yes, as my proposal for all staff. Please don't mention that I'm planning to use it."

Indi recorded both permissions with their conditions, then followed up on the board thread.

Thursday 21 January · Indi · To Ann · Cc Bob, Carol · Subject: Re: Dave's offer and the remodel

> Two things I can now add for the 28th.
>
> Bob has an outside job offer and would want a retention arrangement under any of the three paths. He'll talk to you about the details himself.
>
> Carol has proposed a paid parental leave policy for all staff: 8 weeks at full pay after a year's service for the birth or adopting parent, 2 weeks for the other parent. I estimate $15,000 to $25,000 a year. Her draft is attached.
>
> Both bear on the staffing question in every path, and on what a buyer would expect to inherit.

Bob's employer and salary, and Carol's personal plans, were left out, as each had asked. Nobody was told that anyone else had been asked.

Act 5: Follow-through

In the last week Indi stays quiet when it isn't needed, keeps track of what is still open, and turns the board's decision into dated follow-ups.

Monday 25 January · From Carol · To Bob · Cc Indi · Subject: Spring photo shoot

> Bob, can marketing have $2,500 for the March photo shoot? The photographer needs a deposit this week. Carol

Indi read the message and chose not to reply. Carol was asking Bob, not Indi, and an answer from Indi would only have cluttered the thread.

Thursday 28 January: the board meets.

Friday 29 January · From Ann · To Bob, Carol · Cc Indi · Subject: Board decisions, 28 January

> For the record, we agreed to:
>
> 1. Ask a hotel broker for an opinion of value by 15 February, then answer Dave. If it supports it, we'll counter at $7.2 million with six-month retention bonuses for key staff.
> 2. Get two contractor bids for the remodel by 1 March, so we can compare properly if Dave's deal falls through.
> 3. Raise Bob's salary to $112,000 from February, plus a $20,000 retention bonus payable when a sale closes or the remodel is finished.
> 4. Adopt Carol's parental leave policy from 1 March.
>
> Indi, please keep us on track. Ann

Indi · To Ann · Cc Bob, Carol · Subject: Re: Board decisions, 28 January

> Noted, and congratulations on getting to four clear decisions. Here is what I'm tracking:
>
> - **Broker's opinion of value**, due 15 February. I'll check back on the 16th, before anyone replies to Dave.
> - **Contractor bids**, due 1 March. I'll ask then whether both are in, and compare them against the $1.8 million estimate.
> - **Retention bonus and leave policy**: both worth a quick review by the company's attorney before they're issued, so they're written the way you intend and the leave policy fits federal pregnancy rules.
>
> One open question from the options memo still stands: how a sale would be taxed to each of you. Your CPA should look at that before you counter.

Tuesday 16 February · Indi · To Ann · Cc Bob, Carol · Subject: Re: Board decisions, 28 January

> Checking in on the broker's opinion of value, which was due yesterday. Has it arrived, and does it support a counter at $7.2 million?

The follow-up arrived on the day Indi had set, on the board's thread, to the three people who had made the decision.

What this shows

In a month, one consultant held three owners' confidences and a buyer's questions, helped each person with their own problem, and brought them to a shared decision, with nothing crossing that its owner hadn't released.

Moment	What Indi did	Why a shared AI project couldn't
Bob sends the statements to everyone	Answered all three, drawing on what all three had received	Works there too: this is what shared projects already do
Ann, Bob and Carol each write alone	Helped each privately, using their own information	Each would need a separate private chat, cut off from the shared work

Moment	What Indi did	Why a shared AI project couldn't
Ann asks whether Bob is leaving	Declined without confirming, denying or hinting, and answered her real concern	A shared project would either expose Bob's message or know nothing of it
Dave joins a thread	Sent him the terms first, then discussed only what Ann had shared with him	An outsider would have to be kept out of the project entirely
Dave probes for leverage	Gave nothing away, and offered something useful instead	Nothing in a project marks which information a participant may see
The board needs Bob's and Carol's private news	Asked each of them, and shared only what they allowed, with their conditions	No mechanism for asking the owner of a fact before using it
Carol writes to Bob about a photo shoot	Stayed silent	An assistant in a project answers when asked; it doesn't judge whether to speak
The board decides	Tracked open items and followed up on the dates it set	Chats don't come back on their own

Nobody created a project, invited members or decided in advance who could see what. The address lines on ordinary email did that work.

A note on the numbers and the advice

The hotel, the people and the figures are invented for illustration.

- **Financial statements.** They follow the hotel industry's usual layout and are internally consistent: the balance sheet balances, and the cash bridge ties to the change in cash. Margins, insurance cost and price per room are set at plausible levels for a small coastal Florida hotel in 2026, not taken from any real property.
- **Projections.** The remodel and sale figures are rough planning estimates. The 2029 value assumes a capitalisation rate of about 5.5% on improved operating income.

- **Legal points.** The references to the Family and Medical Leave Act's 50-employee threshold, federal pregnancy protections from 15 employees, the absence of a Florida paid family leave law, and Florida's approval and appraisal rules for a sale of substantially all assets are general statements as of 2026. A real company should confirm them with its attorney.
- **Indi's role.** As the scenario shows, Indi points people to their attorney, CPA and broker for decisions that need them. It is a business consultant, not a substitute for professional advice.